Discounted Cash Flow (DCF) Valuation of Infosys

Name: Shreyansh Tripathi

Course: BBA

University: Bennett University

1. Introduction

This project focuses on the valuation of Infosys using the Discounted Cash Flow (DCF) method. DCF is a widely used financial technique to estimate the intrinsic value of a company based on its future cash flows.

Infosys is one of the leading IT services companies in India, known for its stable growth, strong margins, and consistent financial performance.

2. Objective

The objectives of this project are:

- To estimate the intrinsic value of Infosys
- To understand future cash flow forecasting
- To apply DCF valuation methodology
- To build a structured financial model using Microsoft Excel

3. Methodology

The DCF valuation was conducted using the following steps:

- Collection of historical financial data (Revenue, EBIT, Net Profit)
- Forecasting future financial performance for 5 years
- Calculation of Free Cash Flow (FCF)
- Discounting future cash flows using the Weighted Average Cost of Capital (WACC)
- Estimation of Terminal Value using the Gordon Growth Model
- Calculation of total enterprise value

4. Assumptions

The model is based on the following key assumptions:

- Revenue Growth (Year 1–2): 12%

- Revenue Growth (Year 3–5): 8%
- EBIT Margin: 23%
- Tax Rate: 25%
- Capital Expenditure: 4% of Revenue
- Working Capital: 1% of Revenue
- Discount Rate (WACC): 10%
- Terminal Growth Rate: 3%

These assumptions are based on industry trends and the financial characteristics of Infosys.

5. Forecasting

Revenue was forecasted for a period of five years based on growth assumptions. EBIT was calculated as a percentage of revenue, and taxes were applied to derive NOPAT (Net Operating Profit After Tax).

Capital expenditure and working capital were estimated as a percentage of revenue to calculate Free Cash Flow.

6. Free Cash Flow Calculation

Free Cash Flow (FCF) represents the cash generated by the company after accounting for operational and capital expenses.

FCF was calculated using:

- NOPAT (after tax operating profit)
- Less Capital Expenditure
- Less Working Capital changes

7. Discounting Cash Flows

Future cash flows were discounted to present value using a discount rate (WACC) of 10%.

This step accounts for the time value of money and investment risk.

8. Terminal Value

Since companies operate beyond the forecast period, a terminal value was calculated using the Gordon Growth Model.

This represents the value of the business beyond the 5-year forecast period and contributes significantly to the overall valuation.

9. Valuation Result

The total enterprise value was calculated by:

- Summing all discounted free cash flows
- Adding the discounted terminal value

Final Output:

Enterprise Value: ₹ 358983.3245 Crores

- Discount Rate: 10%
- Terminal Growth Rate: 3%

10. Key Insights

- Infosys shows stable and consistent revenue growth
- Strong operating margins contribute to high cash flow generation
- A significant portion of valuation is driven by terminal value
- The company demonstrates financial strength and scalability

11. Conclusion

The DCF analysis indicates that Infosys is a financially strong company with stable growth prospects. The valuation reflects its ability to generate consistent future cash flows.

This project helped in understanding real-world financial modeling and valuation techniques used in investment analysis.

12. Tools Used

- Microsoft Excel
- Financial Modeling Techniques
- DCF Valuation Method

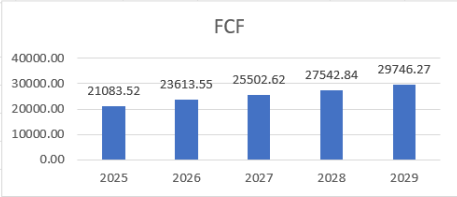
13. Learning Outcomes

Through this project, I learned:

- How to build a financial model from scratch
- How to forecast company performance
- How to calculate and interpret Free Cash Flow

- How to perform company valuation using DCF

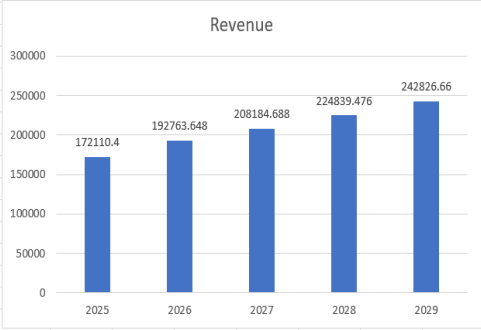
Year	FCF	Discount Factor	Present Value
2025	21083.52	0.909090909	19166.84
2026	23613.55	0.826446281	19515.328
2027	25502.62	0.751314801	19160.499
2028	27542.84	0.683013455	18812.127
2029	29746.27	0.620921323	18470.091



sum of present value	95124.88529
Terminal value	424946.655
DISCOUNT TERMINAL VALUE	263858.4393
Enterprise value	358983.3245

Result	
Enterprise value	358983.3245
Discount Rate	10%
Terminal Growth	3%

Year	Revenue	Ebit	Tax	NOPAT	Capex	WC	FCF
2025	172110.4	39585	9896.3	29689.04	6884.4	1721.1	21083.52
2026	192763.6	44336	11084	33251.73	7710.5	1927.6	23613.55
2027	208184.7	47882	11971	35911.86	8327.4	2081.8	25502.62
2028	224839.5	51713	12928	38784.81	8993.6	2248.4	27542.84
2029	242826.7	55850	13963	41887.60	9713.1	2428.3	29746.27



Assumption sheet | Historical data | Forcast | DCF model | +